BEFORE THE
STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

In the Matter Of

The Brooklyn Union Gas Company d/b/a National Grid NY &
KeySpan Gas East Corporation d/b/a National Grid

Cases 19-G-0309 & 19-G-0310

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Prepared Testimony of:

Daniel S. Gadomski
Utility Analyst 1
Office of Market and Regulatory Economics

State of New York
Department of Public Service
Three Empire State Plaza
Albany, New York 12223-1350

Q. Please state your name, employer, and business address.

A. My name is Daniel S. Gadomski. I am employed by the New York State Department of Public Service (Department). My business address is Three Empire State Plaza, Albany, New York 12223.

Q. What is your position at the Department?

A. I am a Utility Analyst 1 economist in the Office of Market and Regulatory Economics.

Q. Please briefly state your educational background and professional experience.

A. I received a Bachelor of Arts Degree in Economics from the State University of New York at Albany in 2014. My current responsibilities at the Department include analyzing compensation and benefits issues in rate case proceedings, analyzing socioeconomic impacts for Article 10 siting of major electric generating facilities, and participating on Department Staff (Staff) teams overseeing utility management audits, including issues related to employee performance targets.

Q. Have you previously provided testimony in proceedings before the New York State Public

Service Commission (Commission)?

A. Yes. I provided testimony on compensation and benefits issues in cases regarding KeySpan Gas East Corporation, d/b/a National Grid (KEDLI), and The Brooklyn Union Gas Company, d/b/a National Grid NY (KEDNY), Cases 16-G-0058 and 16-G-0059; Suez Water New York, Inc., Case 16-W-0130; National Fuel Gas Corporation, Case 16-G-0257; New York American Water Company, Case 16-W-0259; Niagara Mohawk Power Corporation d/b/a National Grid, Cases 17-E-0238 and 17-G-0239; Corning Natural Gas Corporation, Case 16-G-0369; Central Hudson Gas & Electric Corporation, Cases 17-E-0459 and 17-G-0460; Consolidated Edison Company of New York, Inc., Cases 19-E-0065 and 19-G-0066; and the SUEZ Water New York Inc., SUEZ Water Westchester Inc., and SUEZ Water Owego-Nichols Inc., Cases 19-W-0168 and 19-W-0269. Additionally, I have provided testimony in proceedings before the State of New York Board on Electric Generation Siting and the Environment in Cases 16-F-0062 and 16-F-0328, regarding the jobs impact of the Eight Point Wind Facility and the Number Three Wind

Facility, respectively.

Q. What is the purpose of your testimony?

A. I will discuss the reasonableness of KEDNY's and KEDLI's (collectively, the Companies), request for rate recovery of management incentive compensation. In particular, I will discuss the compensation study prepared on the Companies' behalf and describe my review of the Companies' benchmarking of employee compensation. I will also address the annual escalation rate used by the Companies to project management compensation, effective each July 1st, starting July 2019. These issues were addressed in the direct testimony of Maureen P. Heaphy.

Q. In your testimony, will you refer to, or otherwise rely upon, any information produced during the discovery phase of this proceeding?

A. Yes. I will refer to, and have relied upon, the Companies' responses to Staff Information Requests (IRs). These responses are presented in Exhibit__(DSG-1) and are referred to throughout my testimony according to the numerical designation assigned by Staff, for example, DPS-123.

Q. Are you sponsoring any other exhibits?

A. Yes, I am sponsoring two additional exhibits: Exhibit__(DSG-2) contains a diagram of the Commission's two-prong test for recovering incentive pay in rates. Exhibit__(DSG-3) contains the WorldatWork Salary Budget Survey which includes compensation escalation rate forecasts. WorldatWork is a non-profit human resources association and a leading compensation authority for professionals and organizations focused on compensation, benefits, and total rewards.

Background

Q. Please summarize Commission precedent regarding cost recovery of utility incentive compensation programs.

A. The Commission's requirements for incentive compensation cost recovery were set forth in the June 17, 2011 Order Establishing Rates for Electric Service in Case 10-E-0362, a rate proceeding regarding Orange and Rockland Utilities, Inc. (O&R). I will refer to this later in my testimony as the "2011 O&R Rate

Order." In that Order, the Commission explained that a utility must demonstrate that its total level of employee compensation, inclusive of incentive pay, is reasonable relative to peer companies. The Commission explained that utilities should demonstrate the reasonableness of their incentive pay plans by providing a compensation study of similarly-situated companies. However, even if the utility produces a study shown that its compensation is reasonably in line with that of its peers, the Commission also stated that an incentive pay plan will not be deemed reasonable if it includes performance targets that adversely affect customer interests or are inconsistent with Commission policies.

Q. Is a compensation study the only option for utilities to demonstrate the reasonableness of their incentive pay plans?

A. No. The Commission explained further, on page 38 of the 2011 O&R Rate Order, that utility incentive pay plans could be deemed reasonable, and thus eligible for cost recovery, if the utility provides quantifiable or demonstrable

benefits to customers, in a financial sense, or in terms of reliability, environmental impact or customer service.

Q. Did any party seek rehearing of the 2011 O&R Rate Order?

A. Yes, both O&R and the Utility Intervention Unit of the New York Department of State petitioned for rehearing of the 2011 O&R Rate Order.

Q. How did the Commission rule on the rehearing requests?

A. The Commission denied both petitions in its November 21, 2011 Order Denying Petitions for Rehearing and/or Clarification. In the Order on rehearing, the Commission clarified that its objective is to ensure that customers pay no more, and no less, in rates than what is necessary and sufficient to attract and retain employees with the qualifications and motivation to ensure the provision of safe and adequate service. The Commission reiterated its finding that employee compensation plans should align with customer interests, and the utility must provide a quantitative demonstration to support a finding that the cost to ratepayers to fund

incentive compensation is at least matched by the value of the benefits they receive. Furthermore, the Commission explained that a utility could justify recovery of incentive compensation by making a demonstration that total employee compensation levels, inclusive of incentive compensation, are reasonable. The Commission explained that the preferred methodology to demonstrate this would be a comparable total compensation study of similarly situated companies. As long as the plan does not promote employee behavior that would be contrary to customer interests or Commission policies, utilities may be authorized to receive rate recovery of their incentive compensation expenses. I include a diagram of what has been frequently referred to as the Commission's two-prong test in Exhibit__(DSG-2).

Compensation Benchmarking Analysis

Q. Please describe the benchmarking study the Companies used to support their proposal in these rate filings.

A. The Companies hired Willis Towers Watson to

perform a study concerning the overall competitiveness of its management employee compensation and benefits package. The study examined the total employee compensation and benefits package, inclusive of incentive pay, for approximately 92 percent of the management positions at National Grid USA. The Companies' management employees were compared to a benchmarked position derived from a peer group of companies.

Q. What did the Companies conclude from this study?

A. Based on the results of the study, the Companies concluded that KEDNY's and KEDLI's total compensation and benefits programs, including incentive pay, are reasonable and market competitive.

Q. Did you review the Companies' benchmarking study and methodology?

A. Yes. The Companies provided the supporting documents in Exhibit__(MPH-2), and in response to IR DPS-801.

Q. What standard is used to determine whether a utility's benefits and compensation package is market competitive?

A. According to the WorldatWork Handbook of Compensation, Benefits & Total Rewards: A Comprehensive Guide for HR Professionals, which is a widely accepted authority, the value of compensation and benefits paid to a company's employees should fall within plus or minus 10 percent of the market median. This generally accepted rule of thumb referenced in the World at Work Handbook has been used by Staff to evaluate compensation benchmarking results in numerous prior rate cases before the Commission.

Q. Do the Companies assert that their benchmarking study satisfies this standard?

A. Yes. On page 12 of her direct testimony, witness Maureen P. Heaphy states that the study concluded that the value of National Grid USA's overall compensation, benefits, and pension package is slightly below the median value of the peer group's package, but generally within the 10 percent band that is considered the zone of reasonableness.

Q. Did you review the Companies' benchmarking study to determine if it satisfies this standard?

A. Yes. I reviewed the benchmarking study.

Peer Group Used for Benchmarking Analysis

Q. Which companies were included in the peer group used to analyze the competitiveness and reasonableness of the Companies' annual compensation package value?

A. Willis Towers Watson compared the Companies' total compensation and benefits package to the compensation and benefits packages provided selected a peer group consisting of 38 utility and general industry peer companies. The list of the peer group comparison companies was provided in Exhibit__(MPH-2).

Q. How did you review the Companies' peer group.

A. In IR DPS-802, I requested a listing of where the Companies' new hires were previously employed.

Q. Why is this important?

A. Because the goal of a good management compensation program is to attract and retain employees while not paying too much. Thus, it is necessary to evaluate the compensation levels of those firms in competition with the utility in the labor market.

Q. What did you learn from the response to IR DPS-

802?

A. The Companies' response to DPS-802 indicates that the Companies hire employees away from a wide range of general industry and utility industry related companies and many of the companies listed in the peer group are in direct competition with KEDLI and KEDNY in the labor market. Therefore, the span of the peer group companies appears to be reasonably reflective of the Companies' labor market competitors.

Results of Benchmarking Analysis

Q. Do you agree that the Companies' benchmarking study demonstrates that their total compensation is within plus or minus 10 percent of the median total compensation of its similarly situated peers?

A. Yes, for three reasons.

Q. What is the first reason?

A. The position matching was reasonable. The World at Work Handbook of Compensation, Benefits & Total Rewards: A Comprehensive Guide for HR Professionals indicates that the Company should benchmark at least 50% of its positions. The

Companies matched 92 percent of their positions with those of peer companies.

Q. What is the second reason?

A. The Companies' response to IR DPS-935 confirms that the Companies included all of the relevant forms of compensation to its employees in its total compensation benchmarking study.

Q. What is the third reason?

A. Although the Companies reported that that management compensation for KEDLI and KEDNY is 96% of the market average, I calculated that KEDLI and KEDNY compensation was also within 98.5 percent of the market median, thus within the reasonable range of plus or minus 10 percent of the market median.

Performance Targets

Q. Please describe the performance targets in the Companies' Annual Performance Plan.

A. As presented in the response to IR DPS-803 and discussed on page 22 of the direct testimony of Maureen P. Heaphy, the corporate goals of the Annual Performance Plan (the Plan) are built around three key areas of focus – customer,

communities, and people. Within these areas, the key performance metrics are concentrated on safety, reliability, customer ease, customer trust, and controllable costs. The Plan has been structured to establish the following percentages for payouts: (i) Bands C through F – 50 percent based on customers, communities and people objectives and 50 percent based on individual objectives, and (ii) Band B – 40 percent based on individual objectives and 60 percent based on overall financial objectives. The individual goals are designed to enhance employee expertise and performance and focus employees on common goals.

Q. Do the Companies propose to recover the full cost of their incentive pay program?

A. No. As discussed on page 28 of the testimony of Maureen P. Heaphy, the Companies' variable pay expense included in the proposed revenue requirements does not reflect any variable pay component for employees in Band A, or the variable pay component for employees in Band B that is tied to the achievement of overall financial objectives. Attachment 18 of the

response to IR DPS-803 contains the calculation of the incentive dollars amounts allocated to each key area of focus. My review of this response confirms that the portion of the variable pay plan to be included in rates is based on performance targets that will advance the Commission's goals and are not adverse to customers' interests.

Q. Do both prongs of the Commission's incentive pay test require a review of the Company's incentive pay plan performance targets?

A. Yes. Under one prong of the test, the Companies must demonstrate that the compensation program provides either quantifiable or demonstrable benefits to customers in a financial sense, or that it provides customers with quantifiable or demonstrable reliability, environmental, or customer service benefits. Under the alternative prong, the utility should confirm that the incentives will support the provision of safe and adequate service and will have no potential to adversely affect customer interests or to promote results that are inconsistent with Commission policies. Thus, under either prong

of the test, it is necessary to determine how the performance incentive plan goals align with the Commission's policy objectives.

Q. Do the performance targets in the Companies' incentive program promote results that are consistent with Commission policies?

A. Yes. As previously discussed, the portion of incentive compensation for which the Companies requested rate recovery is focused on goals related to safety, reliability, and customer service, as opposed to financial-based goals, which is consistent with Commission policies.

Q. Do the Companies' performance targets promote results that are potentially adverse to ratepayer interests?

A. No. The Companies' incentive compensation program maintains its focus on goals related to safety, reliability, and customer service, which is consistent with Commission policies.

Two-prong Test

Q. Have the Companies satisfied the Commission's two-prong test for including incentive compensation in rates?

A. Yes. The Companies have demonstrated that their total compensation remains within the zone of reasonableness as compared to similarly situated peer companies. The Companies also determined that its incentive compensation performance targets are not adverse to customer interests.

Labor Escalation Factor

Q. What factor did the Companies use to project their management wage increases?

A. According to page 33 of the testimony of Maureen P. Heaphy, the Companies assumed a 3.35 percent management salary increase approved for July 1, 2019 and annual 3.10 percent wage increases in July 1st of each subsequent year.

Q. Are these labor escalation rates reasonable?

A. No. The WorldatWork organization's forecast of "Total Salary Budget Increases," is 3.0 percent for the Actual 2019 median and Projected 2020 median. I provide the WorldatWork forecast of annual United States salary budget increases in Exhibit__(DSG-3). Thus, a 3.0 percent escalation rate would be more reasonable than the escalation rates proposed by the Company.

Q. Do you recommend any adjustments?

A. Yes. I recommend that the Companies' labor escalation factor be adjusted downward to reflect a 3.0% labor escalation rate. I provided this recommendation to the Staff Revenue Requirements Panel. That Panel then reflected this recommendation in Staff's recommended revenue requirements for the Companies.

Q. Does this conclude your testimony at this time?

A. Yes.